

Lecture Notes, Week 6: Is Anarchy So Bad? (II)

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What these notes cover: Friday's lecture, in both sections. Two questions. First, *order without law*: can cooperation be maintained where no state enforces agreements? The whalers, the medieval Law Merchant, the Amsterdam and London stock exchanges, and the hard case of trading with bandits. Second, *anarchy compared to what?*: Rothbard on secession, the nirvana fallacy, when anarchy is efficient, and Somalia.

Readings: Required: Friedman, "A Positive Account of Property Rights" (1994). Optional: Leeson, "Efficient Anarchy" (2007) and "Better Off Stateless: Somalia Before and After Government Collapse" (2007), both in the Week 6 folder of the class repository.

1. The question, and the whalers

- The question of the week: can there be rights and order where no state enforces contracts? Last time, Friedman's answer: property rights are Schelling points (focal points), maintained by the credible threat of retaliation against whoever crosses them. Today: historical cases in which order emerged without law.
- Melville, *Moby-Dick* (1851), ch. 89, "Fast-Fish and Loose-Fish." The American whalers "have been their own legislators and lawyers," with a two-line code: *I. A Fast-Fish belongs to the party fast to it. II. A Loose-Fish is fair game for anybody who can soonest catch it.*
 - Why the sailors bothered: a dispute over a whale is costly (a fight, a lost catch) $\Rightarrow$ a strong incentive to settle disputes cheaply, court or no court.
- Ellickson (1989): people in a close-knit group tend to develop norms that maximize the group's wealth. The whaling norms tracked the biology of the whale being hunted.
 - **Fast-fish, loose-fish** (Greenland right whales: slow, docile, the harpoon line to the boat holds). Whoever is fast to the whale owns it; if the line breaks, the whale is loose and fair game. A bright-line rule that rewards the first harpooner.
 - **Iron holds the whale** (sperm whales: fast, deep-diving, and they swim in schools). The first iron in the animal gives the claim, as long as the ship keeps up the chase. Boats can strike as many whales in a school as they can and sort out ownership afterwards.
 - **Fifty-fifty** (Galápagos). A ship that fettered a sperm whale with a drogue (a float that tires it out) split the carcass equally with the ship that finally took it. Fifty-fifty is "the simplest focal point for a split."
 - **Beached whales** (New England). A whale killed at sea that later washed ashore belonged to its killer, who paid a "reasonable salvage" to the finder (*Ghen v. Rich*, 1881).
- No statute, no court. In a century, only about a dozen reported cases, and in every one the judge deferred to the whalers' usage $\Rightarrow$ the norms did not copy the law, they created it.
 - The same pattern recurs with every new technology (the internet, for instance): norms for managing conflict emerge first; the legal framework is built on them later.
- A limit: norms that are efficient *locally* need not be efficient *globally*. The whalers' norms reduced conflict among whalers and made them better at killing whales, but no whaler had an incentive to worry about the whale stock $\Rightarrow$ overwhaling. Ellickson notes the norms aggravated the risk.

2. The Law Merchant (Lex Mercatoria)

- The commercial revolution of the 11th and 12th centuries: merchants traded at fairs across hundreds of jurisdictions in Europe with no sovereign in common. Royal courts were slow, far away, and would not hear many commercial matters $\Rightarrow$ the merchants developed their own law, the Law Merchant.
- Merchant courts at the fairs and market towns: judges drawn from the merchants themselves, no appeals, a dispute settled before the fair moved on.
- The sanction was ostracism. A merchant who broke a contract and refused the court's award was no longer traded with, anywhere in the network. No jail, but no longer a merchant either.
- The crown absorbed the Law Merchant once it offered to enforce it (Coke, 1606: "part of the law of this realm") $\Rightarrow$ again, the law followed the order.
- Modern analogue: multinational firms mostly settle disputes through private arbitration rather than government courts, because it is faster and cheaper. About nine in ten international trade contracts carry an arbitration clause.

3. Ostracism and reputation

- **Bilateral** reputation: if you cheat me, *I* stop dealing with you.

- Often too weak a threat: a cheater with many trading partners loses little by losing one.
- **Multilateral** reputation: if you cheat me, *everyone* stops dealing with you $\Rightarrow$ the one-shot gain from cheating is weighed against all future dealings with the whole group. Reputation works like a bond posted with every trade.
 - It requires **information**: news of cheating must travel cheaply to the rest of the group. Where it cannot, multilateral punishment fails.
- This is the **shadow of the future** from last week: the punishment is the same as in the repeated game, but the punisher is everyone.
- Everyday examples:
 - Brands. A firm like Walmart invests in a reputation; cheating one customer damages the brand with all of them, so the brand is a hostage to good behavior. If courts could enforce everything cheaply, brands would matter much less.
 - An airline crash hurts the whole airline: it is information about how it maintains its planes and trains its pilots.
 - Restaurants and non-paying diners: suing is not worth the cost, so restaurants rely on substitutes (some post photos of non-payers on the wall). Social clubs expel members; airlines blacklist passengers. No court is involved.

4. Amsterdam and London: stock markets without state enforcement

- Amsterdam, 1602: the Dutch East India Company (VOC), the first company with freely tradable shares. 1,130 investors in the Amsterdam chamber alone, and dividends averaging 22.5% a year over 120 years. Trading started in the open air and moved into the Beurs when it opened in 1611.
- The state refused to enforce many of the trades. After the crash of 1608, an edict of February 1610 outlawed short sales and forward contracts; it was renewed in 1621, 1623, 1624, 1630, 1636, and 1677.
 - Governments treated forwards and options as gambling. Traders valued them because they allocate risk.
 - The courts would not enforce a time bargain. A losing party could “appeal to Frederick” (traders named the edicts after Stadtholder Frederick Henry, in office 1625–47) and walk away from the contract.
- Yet forwards, options, and fractional shares flourished among a thousand brokers who were not kin, not co-religionists, and often strangers.
 - Joseph de la Vega, an Amsterdam merchant, *Confusión de Confusiones* (1688): “Such honesty, co-operation, and accuracy are admirable and surprising.”
 - Adam Smith, *Lectures on Jurisprudence* (1766): the Dutch, “the most commercial,” are “the most faithful to their word.” Not national character, “as some pretend,” but self-interest: “A dealer is afraid of losing his character, and is scrupulous in observing every engagement. When a person makes 20 contracts in a day, he cannot gain so much by endeavouring to impose on his neighbours, as the very appearance of a cheat would make him lose.”
- London: from coffeehouses to the Stock Exchange.
 - 1696: brokers expelled from the Royal Exchange set up in Jonathan’s coffeehouse. 1734: Barnard’s Act makes time bargains and options unenforceable. The trades continue.
 - A defaulter is a “lame duck”: he waddles out of Jonathan’s and his name is chalked on a blackboard so that nobody deals with him again. A cheap way to spread the information that multilateral punishment needs.
 - 1762: 150 brokers rent Jonathan’s for themselves. 1801: a Subscription Room with balloted membership, whose first rule is “every defaulter ceases to be a member” $\Rightarrow$ the club is the court and expulsion is the sentence.
- Not every exchange was a private creation (the Paris Bourse was set up by royal decree in 1724), but the London and New York exchanges grew out of private clubs, and the New York Stock Exchange is privately owned to this day.

5. The harder case: trading with bandits

- So far the parties were of roughly equal strength, which is also Hobbes’s assumption in the state of nature. What if one party is much stronger than the other?
 - Boycott has no grip on a bandit. “If you cheat me I will never deal with you again.” “Fine, I will take what I want anyway.”
 - Friedman’s mechanism from last time (disproportionate retaliation to defend a Schelling point) can deter a stronger party too, but assume here the caravan is strong enough to shrug it off.
- West-central Africa, 1850–1900 (Leeson). Caravans of seventy or eighty *armed* middlemen carry cloth, gin, and guns inland; stationary, *unarmed* villages produce ivory, wax, and rubber. No sovereign anywhere: “there are no such things as nations or kingdoms in the interior of Africa” (Livingstone).
- The game tree (last week’s sovereign’s commitment problem, with the caravan in the ruler’s seat):
 - The producers choose first: produce for subsistence (stocks hidden, not worth a raid) or build stocks for trade.

- The caravan chooses next: trade or plunder. Once stocks have been built, plunder beats trade for the caravan.
- The producers foresee this and stay at subsistence $\Rightarrow$ little trade, and the gains from trade are forgone. The best outcome for both, stocks built and traded, is unreachable.
- Arm the villages? Assume the caravan is large enough that self-defense costs more than it is worth. Call in a state? There is none.
- The solution: **trade on credit**.
 - The caravan advances its goods now (cloth, gin, tobacco); the villagers produce and repay next season, often over months or years.
 - When the caravan arrives there is nothing worth stealing, and the advances are consumed at once, so they cannot be stolen back.
 - A village in debt becomes a productive asset the caravan wants to protect, even against other caravans. A dead debtor pays nothing.
 - “You can’t steal what’s not there, but you can trade with it” (Leeson). Changing the *sequence* of exchange turns credit into a commitment device, and trade becomes possible between unequal parties without a state.
 - A second device in the same trade: **tribute**. Villages paid caravans a small toll in goods that were consumed quickly and did not add to the stock of stealable wealth, a price for being left alone.

6. International anarchy, and where secession stops

- Nearly two hundred sovereign states and no sovereign over them: the world has always been in anarchy. Agreements between states have no third-party enforcer.
- Class poll: almost nobody in either section wanted a single world government. At the international level, most of us are anarchists.
- Rothbard, *Power and Market* (1970): “once one concedes that a single world government is not necessary, then where does one logically stop at the permissibility of separate states?” If Canada and the United States can be separate nations, why may not the South secede from the Union, New York State from the Union, New York City from the state, Manhattan, each neighborhood, each block, each house, each person? $\Rightarrow$ “the purely free society.”
- Objections raised in class: a world government would be too diverse to serve anyone well; it would remove competition between jurisdictions; powerful groups would capture it; there would be no exit.
- What is wrong with Rothbard’s argument: it treats government as all or nothing, as if its costs and benefits were the same at every scale. That is a failure to think **at the margin**.
 - The cost of government rises with the size and diversity of the population it covers (decision costs, enforcement costs). The benefit rises with the size of the market it secures, but at a decreasing rate.
 - The efficient jurisdiction is where the marginal cost of one more member meets the marginal benefit. That stops somewhere between the person and the planet: the stopping point is economic, not logical.

7. Anarchy compared to what?

- The **nirvana fallacy** (Demsetz, 1969): comparing a real institution with an ideal one, and finding the real one wanting.
 - The usual version: anarchy as it is against government as it ought to be. The reverse is a fallacy too: idealized anarchy always beats any real government.
 - Ask instead what a policy would look like once it has gone through the real political process, with real incentives and real information.
- The **relevant alternatives** (Leeson): compare a society under anarchy with the same society under the government it actually had, before or after, not with a state that has never existed there.

8. Efficient anarchy (Leeson, 2007)

- Notation. H : social wealth with a government enforcing trade. L : social wealth under self-enforced trade (not zero: the cases above show that order exists without a state, but it may be thinner). G : the cost of government (setting it up, running it, and the harm it can do).
- Government is worth having only if

$$G < H - L.$$

Anarchy is efficient when $G > H - L$.

- Two kinds of efficient anarchy:
 - **Small $H - L$ anarchy**: a state would add little. Small, close-knit societies (the Nuer, the Tiv, the Eskimo) with little to trade and cheap self-enforcement through ostracism. They stayed stateless for centuries because it

was efficient.

- **Big G anarchy:** a state would cost too much. The international arena: a government over eight billion people from very different cultures would cost more than it could add $\Rightarrow$ the world is in anarchy, and efficiently so. Private arbitration fills the gap.
- Anarchy is not always efficient. Where G is small and $H - L$ is large, government is the efficient solution. It depends on the costs and the benefits, in context.

9. Somalia: better off stateless?

- “If you like anarchy so much, move to Somalia.” Nobody moves from the United States to Somalia, but that is the wrong comparison. The relevant alternative for Somalia is not the US government; it is the government Somalia actually had.
- Somalia under government, 1969–1991:
 - October 1969: Major-General Siad Barre takes power in a coup and proclaims “scientific socialism.”
 - 1975: all land and most industry nationalized; famine follows. Hyperinflation (the shilling losing more than 100% of its value a year in the late 1980s). Foreign aid at 58% of GNP. A 1986 election won with 99.9%. “Gossip” made a capital offense. One of the worst human-rights records in Africa (UNDP). Hundreds of thousands of refugees.
 - January 1991: the state collapses. The same year, 400,000 Somali refugees return home from Ethiopia.
- After the collapse. The first two years (1991–92) were civil war and famine; by the late 1990s peace prevailed over most of the country. Leeson compares the last five years of government with 2000–05:

Indicator	1985–90	2000–05
Life expectancy (years)	46.0	48.5
Infant mortality (per 1,000 births)	152	115
Maternal mortality (per 100,000 births)	1,600	1,100
Extreme poverty (% under \$1 a day)	60	43
Access to a health facility (%)	28	55
Access to sanitation (%)	18	26
Telephones (per 1,000)	1.9	14.9
Radios (per 1,000)	4.0	98.5
Adult literacy (%)	24	19

Source: Leeson (2007), “Better Off Stateless,” *Journal of Comparative Economics* 35(4), Table 1.

- Most indicators improved; literacy went the other way (the schools had been financed by foreign aid). This is a correlation, not proof of causation. But Somalia also improved more than its neighbors (Djibouti, Ethiopia, Kenya) over the same years, which rules out “it was just the passage of time.”
- Why better off? What collapsed was a predator. Order came from elsewhere:
 - *Xeer*: the customary law of the clans, with its own courts and compensation payments. Dispute resolution that is cheap and fast.
 - *Dilaal*: brokers who certify that the cattle being sold are not stolen.
 - Private provision of what the state used to monopolize: fourteen private airlines with 62 aircraft by 1997, and some of the best telecommunications in Africa. A private phone network has its own problems (monopoly, for one), but it beat the state’s.
- Attempts to re-establish a government brought the violence back. The three worst spikes after 1991 came with the Transitional National Government (2000), the Transitional Federal Government (2004), and the TFG’s war with the Islamic Courts (2006–07). Every faction wants to be the one that controls the state.
- The caveat: a constitutionally constrained state, strong enough to support the private sector but limited in its power to do harm, might do better than statelessness. That was not the type of government that collapsed. And nothing here says the United States would be better off without a government: a government that works well in one place need not work well elsewhere.
- The night-lights study (Bonneau, Hall, and Zhou, 2022, *Public Choice*):
 - No statistical agency $\Rightarrow$ satellite night-time lights as a proxy for economic activity.
 - **Synthetic control:** a weighted mix of 27 developing countries chosen so that it tracked Somalia’s lights before 2004. It estimates what Somalia would have done without the TFG.
 - After the internationally brokered TFG was installed in 2004, Somalia’s lights flatten while the synthetic Somalia keeps growing $\Rightarrow$ the imposed government is associated with stagnation, plausibly because it clashed with the informal institutions that had been working.

10. The takeaway

- Three phrases: rights before the state, order without law, anarchy compared to what.
- Norms and reputation can sustain cooperation without a state, even between unequal parties (trade on credit). Whether a state is worth having is a question of G against $H - L$, in context: sometimes anarchy is efficient, sometimes it is not.
- Next week: the limits of anarchy and the origins of the state.

Key terms

Norms vs. law · focal (Schelling) point · Law Merchant · ostracism · bilateral vs. multilateral reputation · shadow of the future · credit as a commitment device · international anarchy · Rothbard's secession argument · thinking at the margin · nirvana fallacy · relevant alternatives · efficient anarchy ($G < H - L$) · small $H - L$ vs. big G anarchy